RESERVE BANK OF INDIA (SYNTHETIC SAMPLE)

FICTIONAL CIRCULAR FOR THE NIYAM DEMONSTRATION · RECEIVED BY DEF BANK (SYNTHETIC)

RBI/2026-27/SYN-032

DOR.CRE.REC.SYN-32/21.01.003/2026-27 October 13, 2026

All Public Sector Banks

Madam / Sir,

Group Exposure Monitoring for Public Sector Banks

THIS IS A SYNTHETIC CIRCULAR PREPARED FOR A DEMONSTRATION. IT IS NOT ISSUED BY THE RESERVE BANK OF INDIA.

1. Short title and commencement. These directions shall be called the Group Exposure (Public Sector Banks) Directions, 2026 and shall come into force on January 1, 2027.

2. Applicability. These directions shall apply to all Scheduled Commercial Banks in the public sector.

3. Exposure limits.

(a) A bank shall not take an exposure to a single counterparty exceeding 20 per cent of its Tier 1 capital.

(b) A bank shall flag for report any group of connected counterparties with an aggregate exposure of 20 per cent or more of its Tier 1 capital.

(c) The aggregate exposure of a bank to its twenty largest borrowers shall not exceed 50 per cent of its total loans and advances.

4. Reporting. Any exposure flagged under paragraph 3 shall be placed before the Board of Directors within 30 days.

5. Saving. Paragraph 5.2 of MD-SYN-LEF-2025 continues to apply; paragraph 5.3 stands withdrawn.

Yours faithfully,

(Synthetic Signatory)

Chief General Manager (SYNTHETIC)